

Annex XVII

Guidelines on Issue of Co-Branded Credit Cards

1. In order to strengthen the NBFC sector by allowing diversification of their area of business, it has been decided to allow NBFCs, selectively, registered with the Reserve Bank to issue co-branded credit cards with scheduled commercial banks, without risk sharing, with prior approval of the Reserve Bank, for an initial period of two years and a review thereafter. NBFCs fulfilling the following minimum requirements are eligible to apply for issuance of co-branded credit- card:

- (i) Minimum NOF of ₹100 crore;
- (ii) The company shall have made net profit as per last two years audited accounts;
- (iii) The percentage of net NPAs to net advances of the NBFC as per the last audited balance sheet shall not be more than 3 percent;
- (iv) NBFC-BL (other than NBFC-MFIs) shall maintain a Leverage Ratio of seven. NBFCs in all other layers and NBFC-MFIs shall have CRAR of 15 percent.

2. In addition, the NBFCs shall be required to adhere to the following stipulations:

2.1 Operational Aspects

- (i) The role of the NBFC under the tie-up arrangement shall be limited only to marketing and distribution of the co-branded credit cards. The co-branded credit card issuing bank shall be subject to all the instructions/guidelines issued by its concerned regulatory authority.
- (ii) The co-branded credit card issuing bank shall be solely responsible for fulfilment of KYC requirements in respect of all co-branded cards issued under the tie-up arrangement.
- (iii) The risks, if any, involved in co-branded credit cards business shall not get transferred to the business of the NBFC;
- (iv) The co-branded credit card account shall be maintained by the customer with the bank and all the payments by the co-branded card holders shall be in the name of the bank; account (if any) maintained by the user with the NBFC shall not be debited for settlement of dues arising out of co-branded credit card;

(v) The NBFC entering into tie-up shall be guided by the need to ensure confidentiality of the customer's accounts. The co-branding NBFC shall not reveal any information relating to customers obtained at the time of opening the account and the co-branded credit card issuing bank shall not be permitted to access any details of customers' accounts that may violate NBFCs' secrecy obligations.

(vi) The bank, issuing the card, shall put in place suitable mechanism for the redressal of customer grievances. Customer complaints arising out of deficiency in the credit card service shall be the responsibility of the bank.

(vii) Legal risk, if any, arising out of court cases, damages, etc shall be borne by the issuing bank.

2.2 Other Aspects

(i) The NBFC shall have put in place guidelines on Fair Practices Code as required in terms of these Directions;

(ii) The NBFC shall be adhering to Know Your Customer Guidelines and provisions of Prevention of Money Laundering Act, 2002;

(iii) The NBFC shall be complying with other instructions and provisions of the RBI Act, 1934 to the extent applicable to the NBFC concerned;

(iv) The NBFC shall comply with other terms and conditions as the Reserve Bank may specify in this behalf from time to time.

3. Further, the permission is liable to be withdrawn with a notice period of three months in the event of any undesirable/unhealthy operations coming to the notice of the Reserve Bank.